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MIDTERM EXAMINATION Made By Education Gator

Spring 2005 to 2022 Very important

ACC311- Fundamentals of Auditing (Session - 1)

QuestionNo:1 (Marks: 1) - Pleasechooseone_____

Which of the following is a primary objective of an operational audit?



Past protection provided by existing internal control



The verification that a company's financial report is fairly presented



▶ The accuracy of the data reflected in management's financial records

Future improvements to accomplish the goals of management

Question No: 2 (Marks: 1) -Please choose one

Which of the following auditors especially focus upon exceptions, oddities, accounting Irregularities, patterns of conduct, and not on errors or omissions?



Financial auditors



▶ Fraud auditors

External auditors



Internal auditors

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Question No: 3 (Marks: 1) -Please choose one

Which of the following 'audit process stages' shall generally be conducted at the end in relation to the others?

- ▶ Auditing business processes and related accounts
- ▶ Preliminary assessment of materiality and audit risk
- ▶ Preliminary analytical procedures e.g. ratio analysis
- ▶ Consideration of internal control systems

Question No: 4 (Marks: 1) -Please choose one

Which of the following primary assertion is satisfied when an auditor ensures that there is no false transaction recorded and all recorded transactions have actually taken place?

- ▶ Occurrence
- ▶ Completeness
- ▶ Existence
- ▶ Rights and obligations

Question No: 5 (Marks: 1) -Please choose one

Which one of the following statements is **NOT** true about the internal control system of a company?

- ▶ Internal control is affected by people working in an organization
- ▶ Internal control is a process of bringing accuracy and improvements in the systems

- ▶ Internal control system is expected to provide absolute assurance about the performance of a company
- Internal control is geared to achieve objectives of financial reporting, compliance and operations
- ▶

Question No: 6 (Marks: 1) -Please choose one

Which one of the following meetings is considered as a 'meeting of members'?

- General meeting
- ▶ **Board meeting**
- ▶
- ▶ Management meeting
Employees meeting
- ▶

Question No: 7 (Marks: 1) -Please choose one

The first auditors of a company are required to hold office till which one of the following events?
(Companies Ordinance, 1984)

- Board meeting
- ▶ Completion of one year
- ▶ **First annual general meeting-**
Extra ordinary general meeting
- ▶

Question No: 8 (Marks: 1) -Please choose one

A sports goods manufacturing company has started its operations in year 2003 as a private limited company. After five years of conducting successful business, it has incorporated as a listed

company in year 2008. Now, the company is required to hire its first auditors, but neither the directors nor the members could appoint the auditors within four months since the incorporation of the company. Select among the following authorities who can appoint the auditors in this situation? (*Companies Ordinance, 1984*)

Company secretary



▶ Company registrar
Securities and Exchange Commission



Institute of Chartered Accountants of Pakistan



Question No: 9 (Marks: 1) -Please choose one

Which one of the following actions shall give rise to tort, while performing audit of a company?

Negligence



Negligent misconduct



Assault



▶ All of the given options

Question No: 10 (Marks: 1) - Please choose one

Suppose that a private limited company has just been incorporated as public limited company. After how much time the company is required to present its first annual accounts before the Annual General Meeting (AGM)? (*Companies Ordinance, 1984*)

Within 12 months

- ▶
- ▶ Within 13 months
Within 16 months
- ▶
- ▶ Within 18 months

Question No: 11 (Marks: 1) - Please choose one

A listed company has just hired the auditors who have been involved in using ratio analysis, trend analysis, and common size analysis of financial as well as non financial information pertaining to the entity for about a month. In your opinion, auditors should be considered at which one of the following stages of risk assessment?

- ▶ Inspection of the entity and others within the entity
- ▶ Inquiries of management and others within the entity
- ▶ Observation of the entity's procedures and all within the entity
- ▶ Using analytical tools of risk assessment

Question No: 12 (Marks: 1) - Please choose one

Suppose an auditor makes the assessment that there is a low level of control risk and inherent risk for a client, what would you expect the auditor to do in this situation?

- ▶ Perform no substantive procedures
- ▶ Perform no control tests because of the low level of control risk
- ▶

Perform a relatively small number of substantive procedures

- ▶ Re-evaluate his or her acceptable level of audit risk

Question No: 13 (Marks: 1) - Please choose one

During the audit, an independent auditor identifies the existence of a reportable condition in the client's system of internal controls and orally communicates this finding to the client's senior management and audit committee. In your opinion, the auditor should perform which one of the following actions instead of reporting to management in this way?

- ▶ Consider the reportable condition a scope limitation and therefore disclaim an opinion
- ▶ Document the matter in the working papers and consider the effects of the condition on the audit
- ▶ Suspend all audit activities pending directions from the client's audit committee
- ▶ Withdraw from the engagement

Question No: 14 (Marks: 1) - Please choose one

Which one of the following statement *best* describes the inherent risk in auditing?

- ▶ Auditors fail to discover a material misstatement in the course of their audit and do not modify their audit opinion
- ▶ A company's internal control fails to identify a material misstatement in a timely fashion
- ▶ Auditing procedures fail to find a material misstatement
- ▶ The possibility that an account or class of transactions contains material misstatements irrespective of the effects of the internal controls

Question No: 15 (Marks: 1) - Please choose one

While considering the internal control system, the auditor is basically concerned that the system provides reasonable assurance about which one of the following?

- ▶ That the management can not override the system
- ▶ Operational efficiency has been achieved according to management plans
Errors have been prevented or detected
- ▶ Controls have not been circumvented by collusion

Question No: 16 (Marks: 1) - Please choose one

Which of the following is one of the most fundamental and effective internal controls?

- ▶ Increased use of computers for recording accounting transactions
- ▶ Increased reliance on internal auditors to monitor accounting systems
- ▶ Segregation of incompatible duties across several people
- ▶ Having internal auditors report only to the Board of Directors

Question No: 17 (Marks: 1) - Please choose one

An audit firm audited a Leather Manufacturing company and presented its report addressed to the management. They found significant material misstatements in the company's internal controls system. They strongly recommended that there should be sufficient controls in existence to ensure management can effectively control the business operations. In your opinion, auditors are emphasizing on which one of the following categories of SOAP MAPS?

▶

Authorization

Management and Monitoring

- ▶ Arithmetic and Accounting
- ▶
- ▶ Segregation of duties

Question No: 18 (Marks: 1) - Please choose one

Which one of the following statements best describes the term 'Observation' that is performed during the audit testing stage?

- ▶ Reviewing or examining records, documents or tangible assets
- ▶ Looking at an operation or procedure being performed by others with a view to determine the manner of its performance
- ▶ Examining that an operating system and/or applications are configured appropriately to the companies needs and lockdown requirements
- ▶ Seeking relevant information from knowledgeable persons inside or outside the enterprise, whether formally or informally

Question No: 19 (Marks: 1) - Please choose one

In which one of the following situations auditors are required to perform tests of controls?

- ▶ When the internal controls are operating inefficiently
- ▶ When substantive procedures alone do not provide sufficient appropriate audit evidence at the assertion level
- ▶
- ▶ When substantive procedures alone provide sufficient appropriate audit evidence at the assertion level

► When analytical procedures alone do not provide sufficient appropriate audit evidence at the assertion level

Question No: 20 (Marks: 1) - Please choose one

Which one of the following elements is **NOT** related to audit quality?

- Due diligence
- Independence
- Audit fees
- Audit competence

Question No: 21 (Marks: 1) - Please choose one

One of the main objectives of performing analytical review procedures is to obtain evidence in the planning phase of the audit that helps to identify which one of the followings?

- Transactions that have not been properly authorized
- Illegal acts undetected as a result of poor internal controls
- Inefficient operational activities
- Unusual changes that may signal possible account misstatements

Question No: 22 (Marks: 1) - Please choose one

An audit firm audited a company and presented its report addressed to the management. They found discrepancies in the Financial System of the company and strongly recommended the company to incorporate adequate controls to ensure the completeness and accuracy of its financial records. In your opinion, auditors are emphasizing on which one of the following categories of SOAP MAPS?

Authorization

- ▶ Management and Monitoring
- ▶
- ▶ Arithmetic and Accounting
Segregation of duties
- ▶

Question No: 23 (Marks: 1) - Please choose one

An audit firm audited a company and presented its report addressed to the management. They found significant material misstatements in the company's records and its operations and strongly recommended the company to define a proper allotment of responsibilities to reduce the opportunity for fraud and manipulation. In your opinion, auditors are emphasizing on which one of the following categories of SOAP MAPS?

- ▶ Arithmetic and Accounting
- ▶ Segregation of duties
- ▶ Authorization
- ▶ Management and Monitoring

Question No: 24 (Marks: 1) - Please choose one

Which one of the following descriptions *best* define the term 'Flowchart' used in evaluating internal control system of the entities?

- ▶ Entity relationship diagram of an accounting system
- ▶

Diagrammatical representation of an accounting system

- ▶ Show how data move between different entities Narrative
- ▶ description of the audit files

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is the possible application of Arithmetic and Accounting category of internal control?

- ▶ A supervisor or manager reviews and checks the work of a subordinate in order to check the work quality
- ▶ Using of standard accounting procedures e.g. control accounts, reconciliation procedures, arithmetic checks on accounting records
- ▶ Authorization of purchases, cash and bank payments, sale of non-current assets, sales to customers on credit, bad debt write offs
- ▶ Lines of authority within an organization make it clear which individuals are responsible for decisions and transactions

Question No: 26 (Marks: 1) - Please choose one

In auditing, Flowcharts have the following disadvantages **EXCEPT:**

- ▶ When the program logic is very complex the flow chart may become difficult to comprehend.
- ▶ Any modifications in the process may require the creation of a new flow chart.
Generating a flowchart is a tedious procedure, as flowchart symbols cannot be typed.
- ▶ Force the auditors to understand how the company controls operations



Question No: 27 (Marks: 1) - Please choose one

A public limited company hires First statutory auditors who take extensive information about business operations for understanding the entity's environment. For this, they asked for company's records and internal control manuals. They also visited the plant and documented the information about its activities. In your opinion, auditors should be considered at which one of the following stages of risk assessment in this case?

Inspection of the entity and others within the entity



Inquiries of management and others within the entity



▶ Observation of the entity's procedures and all within the entity

Using analytical tools of risk assessment



Question No: 28 (Marks: 1) - Please choose one

When the Cashier of a bank is also appointed to maintain the books of accounts then which one of the following internal control principles is violated?

Rotating employee duties



▶ Establishment of responsibility

Documentation procedures



Segregation of duties



Question No: 29 (Marks: 1) - Please choose one

Which of the following may NOT be considered as the essential feature of Auditing?

- Auditing is the examination of financial statements of a firm
- ▶ Auditing includes preparation of financial statements of a firm
- ▶ The end result of an audit is an opinion to assist the users of the financial statements
- ▶ An audit should be independent

Question No: 30 (Marks: 1)- Please choose one

What is the primary difference between an operational audit and a compliance audit?

- Operational audit focuses on business efficiencies and effectiveness, while compliance audit focuses on whether laws and other requirements are being followed
- ▶ Operational audit focuses on reliability of the financial statements, while compliance audit focuses on whether laws and other requirements are being followed
- ▶ Operational audit focuses on business growth prospects, while a compliance audit focuses on reliability of the financial statements
- ▶ Operational audit focuses on business size and potential to grow, while compliance audit focuses on reliability of accounting records

Question No: 31 (Marks: 5)

Mr.Kamran is a partner of an audit firm. He bought shares of a company for which his firm is also conducting audit. However, he sold out all these shares within thirty days and immediately informed the company secretary about the whole transaction. Is the company secretary required to take any step under the Companies Law, 1984?

Question No: 32 (Marks: 10)

Why books of accounts are required to be kept by companies? Discuss the types of books of accounts with examples.

Question No: 1 (Marks: 1) - Please choose one

Which one of the following is an objective of the internal audit?

- To report on financial statements
- To check accounting system and internal control are operating efficiently

--

To determine the accuracy of financial statement values and disclosures

To establish a control system in the company

Question No: 2 (Marks: 1) - Please choose one

Which one of the following statements is NOT correct in respect of the internal auditor?

The scope of audit performed by internal auditors is primarily in respect of financial report audits

An internal auditor does not require a license to practice

Internal auditors are usually employed by companies and government units

Primary responsibility of the internal auditor is to the board of directors

Question No: 3 (Marks: 1) - Please choose one

After how many days the Securities and Exchange Commission may appoint the auditors, if the Directors of a company could not appoint the auditors to fill casual vacancy? (Companies Ordinance, 1984)

30 days

60 days

80 days

120 days

Question No: 4 (Marks: 1) - Please choose one

Suppose that during audit of a company, an auditor accepted the schedule of bad debts furnished by the client, though it was apparent that debts were not recoverable. The auditor shall be held liable for which one of the following liabilities?

Liability for negligence

Liability for misfeasance

Criminal liability

Personal liability

Question No: 5 (Marks: 1) - Please choose one

The books of accounts of a company should be kept at which one of the following offices?(Companies Ordinance, 1984)

Registered office of the company

Accounts office of the company

Record office of the company

Registrar office

Question No: 6 (Marks: 1) - Please choose one

Which of the following is one of the most fundamental and effective internal controls?

Increased use of computers for recording accounting transactions

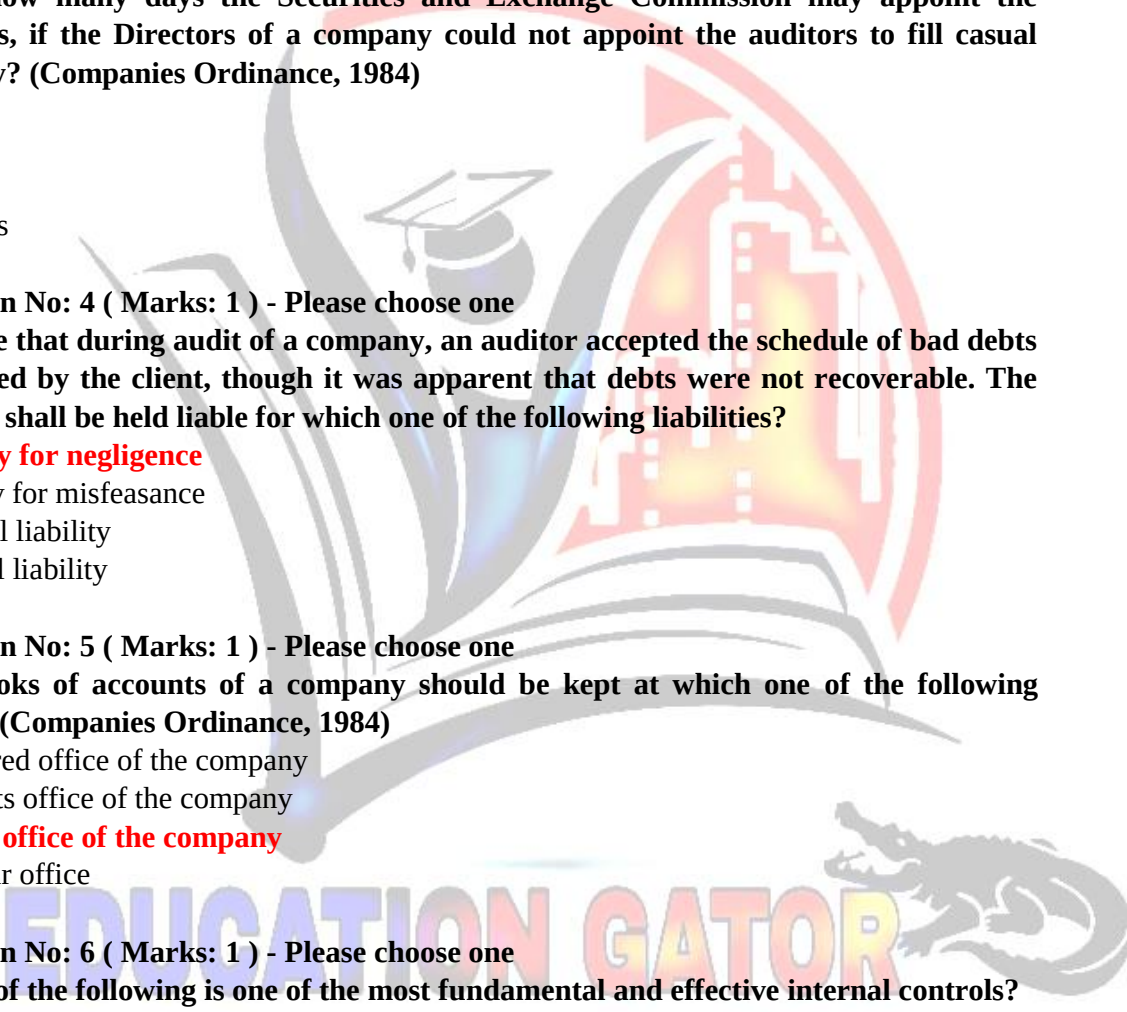
Increased reliance on internal auditors to monitor accounting systems

Segregation of incompatible duties across several people

Having internal auditors report only to the Board of Directors

Question No: 7 (Marks: 1) - Please choose one

Which of the following is NOT a major component of an internal control system?



--

Risk assessment Staffing
Control procedures/activities

Information and communication system

Question No: 8 (Marks: 1) - Please choose one

An audit firm audited a Leather Manufacturing company and presented its report addressed to the management. They found significant material misstatements in the company s internal controls system. They strongly recommended that there should be sufficient controls in existence to ensure management can effectively control the business operations. In your opinion, auditors are emphasizing on which one of the following categories of SOAP MAPS?

Authorization

Management and Monitoring

Arithmetic and Accounting

Segregation of duties

Question No: 9 (Marks: 1) - Please choose one

Which of the following statements best describes the purpose of an internal control questionnaire (ICQ)?

>An internal control questionnaire is a series of questions regarding accounting and control policies and procedures that the auditor considers necessary to prevent all misstatements in the financial report.

>An internal control questionnaire is a series of questions regarding accounting and control policies and procedures that the auditor considers necessary to prevent material misstatements in the financial report.

>An internal control questionnaire is a series of questions regarding accounting and control policies and procedures that the auditor considers necessary to detect material misstatements in the financial report.

>An internal control questionnaire is a series of questions prepared by the entity about the entity's accounting and control policies and procedures for which the entity seeks guidance on from the auditor in order to detect material misstatements in the financial report.

Question No: 10 (Marks: 1) - Please choose one

A Beverages company is being audited by an audit firm. Audit procedures are being undertaken in all of its departments. During this, the audit team has to spend more time on physical examination of the company assets to get reliable audit evidence. In your opinion, auditors are considering which type of audit inquiry in this case?

Recalculations Inspection of tangible assets Analytical procedures Confirmations

Existence of any immaterial mistake in the statements

Existence of any fraud or error in the statements

Company s growth trend in the future in figures Market value of the company s stock

Question No: 11 (Marks: 1) - Please choose one

Which one of the following matters should be included in the letter of representation?

Existence of any immaterial mistake in the statements

--

Existence of any fraud or error in the statements
Company's growth trend in the future in figures
Market value of the company's stock

Question No: 12 (Marks: 1) - Please choose one

Which one of the following may NOT be a type of control of the purchase cycle of an entity?

- Receipt of goods
- Invoicing and returns
- Invoicing and credit notes**
- Purchase ledger and suppliers

Question No: 13 (Marks: 1) - Please choose one

While testing the purchase system of an entity, which one of the following control tests may be applied to the Credit Notes by the auditors?

- Evidence of matching credit notes to goods returned notes
- Evidence of approval of credit notes
- Evidence of a sequence check**
- Proof of issuance date

Question No: 14 (Marks: 1) - Please choose one

During the audit work of testing the purchase system of an entity, which one of the following control tests may be applied to the Payables Ledger by the auditors?

- Evidence of authorization of adjustments to payables ledger
- Evidence of review of reconciliation of purchase ledger listing**
- Evidence of authorization of adjustments to payable ledger control account
- Evidence of authorization of adjustments to purchase ledger

Question No: 15 (Marks: 1) - Please choose one

Which one of the following possible misstatements related to payroll does not involve the audit objective of Validity?

- Payments to fictitious employees
- Payments to terminated employees
- Payments to valid employees who have not worked
- Payments to valid employees at a rate in excess of the authorized amount**

Question No: 16 (Marks: 1) - Please choose one

In order to ensure effective control, how often a full inventory count should be held when perpetual inventory records are not kept adequately?

- On a daily basis
 - At least once a year**
 - At least monthly
 - At least weekly
- Ref: Page no.101

Question No: 17 (Marks: 1) - Please choose one

An oil exploring company employs 1500 personnel in its international market. All of its personnel are paid on monthly basis. The company should compensate them in which form of payment?

Salary

Cheque

Wages

None of the given option

Question No: 18 (Marks: 1) - Please choose one

For the purpose of keeping effective control in the cash system, who should have no access to the cash or the preparation of the paying-in slip?

Sales ledger personnel

Teller/cashier

Cash officers

Operations manager

Ref: Page no.99

Question No: 19 (Marks: 1) - Please choose one

When should the petty cash book entries be made?

At the day end

Next day

Promptly

Monthly

Question No: 20 (Marks: 1) - Please choose one

How often the physical inspection of non current assets should be carried out?

Rarely

Periodically

Never

Daily

Question No: 21 (Marks: 1) - Please choose one

In which one of the following ways auditors can choose the verification techniques in a given set of circumstances?

It depends upon the available audit evidence to the auditor

It depends upon the nature of business operations of the entity

It depends upon the audit procedures planned by the auditor

It depends upon the judgmental skills of the auditor

Question No: 22 (Marks: 1) - Please choose one

Which one of the following may NOT ensure that the movement in share capital of a company is properly authorized and correctly shown and described in accordance with the Companies Ordinance, 1984?

--

Check that directors were authorized to allot shares

Agree authorized capital with memorandum of association

Consider special rules for allotments of public company shares

Test payments with supporting evidence and trace entries in register

Question No: 23 (Marks: 1) - Please choose one

Which one of the following testing objectives refers to the management assertion Occurrence in obtaining audit evidence?

Assets shown include all rights under the control of the enterprise

Transactions and events that have been recorded have occurred and pertain to the entity

The amounts at which assets and liabilities are stated is correct

Assets and liabilities included on the balance sheet actually exist

Question No: 24 (Marks: 1) - Please choose one

Which one of the following certain expense items may be verified in order to keep control of stock-in-trade and stores & spares?

Interest on short term loan

Accumulated depreciation on assets

Director's fees

Wages and salaries

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is NOT an advantage of using statistical sampling?

It aids in the design of an efficient sample

It allows the auditor to measure the sufficiency of the evidential matter obtained

It allows the auditor to greatly reduce substantive testing

It provides means for mathematically measuring the degree of sampling risk

Question No: 26 (Marks: 1) - Please choose one

Which one of the following is an underlying feature of random-based selection of items?

Each stratum of the accounting population be given equal representation in the sample

All items in the accounting population be randomly ordered.

Every item in the population should have an opportunity to be selected

Every item must be systematically selected using replacement

Question No: 27 (Marks: 1) - Please choose one

Which one of the following matters is generally included in an auditor's engagement letter?

Management's responsibility for the entity's compliance with laws and regulations

The factors to be considered in setting preliminary judgments about materiality

Management's vicarious liability for illegal acts committed by its employees

The auditor's responsibility to search for significant internal control deficiencies

Question No: 28 (Marks: 1) - Please choose one

--

What should be the next step of an auditor after establishing the overall audit strategy of an entity?

To develop an audit plan

To define the scope of audit

To determine the focus of engagement team efforts

To determine the objectives of audit

Question No: 29 (Marks: 1) - Please choose one

The establishment of the overall audit strategy involves the following EXCEPT:

To determine the characteristics of the engagement

To ascertain the reporting objectives of the engagement

To consider the important factors i.e. materiality levels, higher risks of material

Misstatement etc.

To guide the development of detailed business activities to occur in future

Question No: 30 (Marks: 1) - Please choose one

Which one of the following mainly affects the auditors opinion?

Agreement on accounting policies

Limitation on the scope of the auditors work

Dispute among the members of the company

Future prospects of the company s growth

Question No: 31 (Marks: 1) - Please choose one

Which one of the following matters does NOT affect Auditor s Opinion?

When there is a limitation on the scope of the auditor s work

When there is a disagreement with management regarding the accounting policies selected

When there is a disagreement with management regarding the method of applying accounting policies

When an auditor modify the auditor s report by adding a paragraph to highlight a material matter

Question No: 32 (Marks: 1) - Please choose one

Tracing selected shipments to the sales journal to be sure that each one is included is a test of which of the following?

Accuracy

Classification

Completeness

Existence

Question No: 33 (Marks: 1) - Please choose one

Which one of the following best describes the term Input VAT?

Input VAT is charged on a firm when it makes its purchases

Input VAT is charged on a firm when it makes its investments

Input VAT is charged on a firm when it produces highly quality products

Input VAT is charged on a firm when it exports the products

Question No: 34 (Marks: 1) - Please choose one

The duties of the wages staff should preferably be rotated during the year when the salary payment is made by which of the following systems?

By cheque

In cash

By demand draft

Direct transfer to employees bank account

Question No: 35 (Marks: 1) - Please choose one

Which of the following are the three audit objectives that are most important for cash, and that receive the greatest attention during the audit?

Existence, accuracy, and completeness

Existence, cutoff, and presentation

Accuracy, cutoff, and presentation & disclosure

Completeness, realizable value, and cutoff

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is most likely to indicate fraud?

Several overpayments are made for goods received from a supplier

The year end cash balance does not include cash in transit to the company at year-end

A check received after year end was inadvertently recorded as if received before year-end

A documented loan is sanctioned to an officer of the company

Question No: 37 (Marks: 1) - Please choose one

When an auditor increases the assessed level of control risk because certain control activities were determined to be ineffective, which of the following would most likely be increased by the auditor?

Extent of tests of controls

Level of detection risk

Extent of tests of details

Level of inherent risk

Question No: 38 (Marks: 1) - Please choose one

Which one of the following statements is TRUE regarding control procedures?

They are not required if the control environment is strong

They should generally be all manual

They should generally be all automated

They can be either manual or automated

Question No: 39 (Marks: 1) - Please choose one

Which one of the following statements does not apply to the Institute of Chartered Accountants of Pakistan (ICAP) in Pakistan?

--

An autonomous body incorporated under the Chartered Accountants Ordinance 1961
Regulatory body that formulates auditing standards in Pakistan
Its affairs are run by a council which is elected by its member (Chartered Accountants).

ICAP is a member of the International Federation of Accountants (IFAC)

Question No: 40 (Marks: 1) - Please choose one

Which one of the following statements indicates a primary difference between an operational audit and a compliance audit?

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Which one of the following primary assertions is satisfied when an auditor ensures that there is no false transaction recorded and all recorded transactions have actually taken place?

Occurrence

Completeness

Existence

Rights and obligations

Question No: 42 (Marks: 1) - Please choose one

Following are the points considered during the verification of bank balances EXCEPT:

Obtain direct bank confirmation

Investigate about outstanding stale cheques

Investigate any significant reconciling items of an unusual nature

Ensure that the creditors have been paid for their loan amount

Question No: 1 (Marks: 1) - Please choose one

Which one of the following is an objective of the internal audit?

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To determine the accuracy of financial statement values and disclosures

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Segregation of incompatible duties across several people

Having internal auditors report only to the Board of Directors

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Market value of the company's stock

Question No: 12 (Marks: 1) - Please choose one

Which one of the following may NOT be a type of control of the purchase cycle of an entity?

Receipt of goods

Invoicing and returns

--

Invoicing and credit notes

Purchase ledger and suppliers

Question No: 13 (Marks: 1) - Please choose one

While testing the purchase system of an entity, which one of the following control tests may be applied to the Credit Notes by the auditors?

Evidence of matching credit notes to goods returned notes

Evidence of approval of credit notes

Evidence of a sequence check

Proof of issuance date

Question No: 14 (Marks: 1) - Please choose one

During the audit work of testing the purchase system of an entity, which one of the following control tests may be applied to the Payables Ledger by the auditors?

Evidence of authorization of adjustments to payables ledger

Evidence of review of reconciliation of purchase ledger listing

Evidence of authorization of adjustments to payable ledger control account

Evidence of authorization of adjustments to purchase ledger

Question No: 15 (Marks: 1) - Please choose one

Which one of the following possible misstatements related to payroll does not involve the audit objective of Validity?

Payments to fictitious employees

Payments to terminated employees

Payments to valid employees who have not worked

Payments to valid employees at a rate in excess of the authorized amount

Question No: 16 (Marks: 1) - Please choose one

In order to ensure effective control, how often a full inventory count should be held when perpetual inventory records are not kept adequately?

On a daily basis

At least once a year

At least monthly

At least weekly

Ref: Page no.101

Question No: 17 (Marks: 1) - Please choose one

An oil exploring company employs 1500 personnel in its international market. All of its personnel are paid on monthly basis. The company should compensate them in which form of payment?

Salary

Cheque

Wages

None of the given option

Question No: 18 (Marks: 1) - Please choose one

For the purpose of keeping effective control in the cash system, who should have no access to the cash or the preparation of the paying-in slip?

Sales ledger personnel

Teller/cashier

Cash officers

Operations manager

Ref: Page no.99

Question No: 19 (Marks: 1) - Please choose one

When should the petty cash book entries be made?

At the day end

Next day

Promptly

Monthly

Question No: 20 (Marks: 1) - Please choose one

How often the physical inspection of non current assets should be carried out?

Rarely

Periodically

Never

Daily

Question No: 21 (Marks: 1) - Please choose one

In which one of the following ways auditors can choose the verification techniques in a given set of circumstances?

It depends upon the available audit evidence to the auditor

It depends upon the nature of business operations of the entity

It depends upon the audit procedures planned by the auditor

It depends upon the judgmental skills of the auditor

Question No: 22 (Marks: 1) - Please choose one

Which one of the following may NOT ensure that the movement in share capital of a company is properly authorized and correctly shown and described in accordance with the Companies Ordinance, 1984?

Check that directors were authorized to allot shares

Agree authorized capital with memorandum of association

Consider special rules for allotments of public company shares

Test payments with supporting evidence and trace entries in register

Question No: 23 (Marks: 1) - Please choose one

Which one of the following testing objectives refers to the management assertion Occurrence in obtaining audit evidence?

Assets shown include all rights under the control of the enterprise

--

Transactions and events that have been recorded have occurred and pertain to the entity

The amounts at which assets and liabilities are stated is correct

Assets and liabilities included on the balance sheet actually exist

Question No: 24 (Marks: 1) - Please choose one

Which one of the following certain expense items may be verified in order to keep control of stock-in-trade and stores & spares?

Interest on short term loan

Accumulated depreciation on assets

Director's fees

Wages and salaries

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is NOT an advantage of using statistical sampling?

It aids in the design of an efficient sample

It allows the auditor to measure the sufficiency of the evidential matter obtained

It allows the auditor to greatly reduce substantive testing

It provides means for mathematically measuring the degree of sampling risk

Question No: 26 (Marks: 1) - Please choose one

Which one of the following is an underlying feature of random-based selection of items?

Each stratum of the accounting population be given equal representation in the sample

All items in the accounting population be randomly ordered.

Every item in the population should have an opportunity to be selected

Every item must be systematically selected using replacement

Question No: 27 (Marks: 1) - Please choose one

Which one of the following matters is generally included in an auditor's engagement letter?

Management's responsibility for the entity's compliance with laws and regulations

The factors to be considered in setting preliminary judgments about materiality

Management's vicarious liability for illegal acts committed by its employees

The auditor's responsibility to search for significant internal control deficiencies

Question No: 28 (Marks: 1) - Please choose one

What should be the next step of an auditor after establishing the overall audit strategy of an entity?

To develop an audit plan

To define the scope of audit

To determine the focus of engagement team efforts

To determine the objectives of audit

Question No: 29 (Marks: 1) - Please choose one

The establishment of the overall audit strategy involves the following EXCEPT:

--

To determine the characteristics of the engagement
To ascertain the reporting objectives of the engagement
To consider the important factors i.e. materiality levels, higher risks of material Misstatement etc.

To guide the development of detailed business activities to occur in future

Question No: 30 (Marks: 1) - Please choose one

Which one of the following mainly affects the auditors opinion?

Agreement on accounting policies
Limitation on the scope of the auditors work
Dispute among the members of the company
Future prospects of the company s growth

Question No: 31 (Marks: 1) - Please choose one

Which one of the following matters does NOT affect Auditor s Opinion?

When there is a limitation on the scope of the auditor s work
When there is a disagreement with management regarding the accounting policies selected
When there is a disagreement with management regarding the method of applying accounting policies
When an auditor modify the auditor s report by adding a paragraph to highlight a material matter

Question No: 32 (Marks: 1) - Please choose one

Tracing selected shipments to the sales journal to be sure that each one is included is a test of which of the following?

Accuracy
Classification
Completeness
Existence

Question No: 33 (Marks: 1) - Please choose one

Which one of the following best describes the term Input VAT?

Input VAT is charged on a firm when it makes its purchases
Input VAT is charged on a firm when it makes its investments
Input VAT is charged on a firm when it produces highly quality products
Input VAT is charged on a firm when it exports the products

Question No: 34 (Marks: 1) - Please choose one

The duties of the wages staff should preferably be rotated during the year when the salary payment is made by which of the following systems?

By cheque
In cash
By demand draft
Direct transfer to employees bank account

Question No: 35 (Marks: 1) - Please choose one

--

Which of the following are the three audit objectives that are most important for cash, and that receive the greatest attention during the audit?

Existence, accuracy, and completeness

Existence, cutoff, and presentation

Accuracy, cutoff, and presentation & disclosure

Completeness, realizable value, and cutoff

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is most likely to indicate fraud?

Several overpayments are made for goods received from a supplier

The year end cash balance does not include cash in transit to the company at year-end

A check received after year end was inadvertently recorded as if received before year-end

A documented loan is sanctioned to an officer of the company

Question No: 37 (Marks: 1) - Please choose one

When an auditor increases the assessed level of control risk because certain control activities were determined to be ineffective, which of the following would most likely be increased by the auditor?

Extent of tests of controls

Level of detection risk

Extent of tests of details

Level of inherent risk

Question No: 38 (Marks: 1) - Please choose one

Which one of the following statements is TRUE regarding control procedures?

They are not required if the control environment is strong

They should generally be all manual

They should generally be all automated

They can be either manual or automated

Question No: 39 (Marks: 1) - Please choose one

Which one of the following statements does not apply to the Institute of Chartered Accountants of Pakistan (ICAP) in Pakistan?

An autonomous body incorporated under the Chartered Accountants Ordinance 1961

Regulatory body that formulates auditing standards in Pakistan

Its affairs are run by a council which is elected by its member (Chartered Accountants).

ICAP is a member of the International Federation of Accountants (IFAC)

Question No: 40 (Marks: 1) - Please choose one

Which one of the following statements indicates a primary difference between an operational audit and a compliance audit?

--

Operational audit focuses on business efficiencies and effectiveness, while compliance audit focuses on whether laws and other requirements are being followed

Operational audit focuses on reliability of the financial statements, while compliance audit focuses on whether laws and other requirements are being followed

Operational audit focuses on business growth prospects, while a compliance audit focuses on reliability of the financial statements

Operational audit focuses on business size and potential to grow, while compliance audit focuses on reliability of accounting records

Question No: 41 (Marks: 1) - Please choose one

Which one of the following primary assertions is satisfied when an auditor ensures that there is no false transaction recorded and all recorded transactions have actually taken place?

Occurrence

Completeness

Existence

Rights and obligations

Question No: 42 (Marks: 1) - Please choose one

Following are the points considered during the verification of bank balances EXCEPT:

Obtain direct bank confirmation

Investigate about outstanding stale cheques

Investigate any significant reconciling items of an unusual nature

Ensure that the creditors have been paid for their loan amount

1. Standard format of Auditor's Report as per the Companies Ordinance 1984 is described in which one of the following Legal Forms?

A.

Form31A

B.

Form32A

C.

Form30A

D.

Form35A

2. IFRS stands for which one of the following?

A. International Financial Reporting Standards

B. International Financial Recording Systems

C. International Financial Recording Statements

D. International Financial Reporting Systems

3. Which of the following is NOT one of the five major components of internal control?

A. Risk assessment

B. Control activities

C. Information and communication system

D. Human resource background checks

4. All of the following should be observed and inspected by the auditors during the risk assessment process of an entity EXCEPT:

- A. Observations of Activities and operations
- B. Inspection of Documents and records
- C. Reading Management reports
- D. Visit to other companies in the industry

5. Which one of the following audit techniques ordinarily provides an auditor with the least assurance about the operating effectiveness of an internal control activity?

- A. Inquiry of client personnel
- B. **Inspection of documents and reports**
- C. Observation of client personnel
- D. Preparation of system flowcharts

6. Which one of the following opinions advocates that the auditor should form an opinion only after obtaining sufficient audit evidence instead of blindly accepting any information given by the management?

- A. Auditor's liability
- B. **Professional ethics**
- C. Professional Skepticism
- D. Auditor's opinion.

7. Which one of the following is NOT required as part of the audit process?

- A. Substantive procedures
- B. Tests of control
- C. Assessment of materiality
- D. Procedures to obtain an understanding of the internal control structure

8. SECP stands for which one of the following?

- A. Securities and Exchange Collaboration of Pakistan
- B. Securities and Exchange Consortium of Pakistan
- C. **Securities and Exchange Commission of Pakistan**
- D. Securities and Exchange Constitution of Pakistan

9. One type of analytical procedure is the 'Trend Analysis'. Which one of the following is the best example of trend analysis?

- A. Comparison of company financial ratios to that of its competitors
- B. Comparison of accounting records to budgeted amounts
- C. **Comparison of inventory levels over the past 3 years**
- D. Comparison of interest expenses to outstanding loan balances

10. While conducting operational audit, which one of the following auditing procedures does the auditor primarily rely upon?

- A. Inquiry and observation
- B. Analytical procedures**
- C. Physical inspection
- D. Tracing and vouching

11. Which one of the following helps to achieve reasonable assurance about the fairness of financial statements during an audit process?

- A. Audit report**
- B. Audit evidence
- C. Audit engagement
- D. Audit program

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1-Which of the following authorities shall fix the remuneration of the auditor, if auditors are appointed by the SCEP?(companies ordinance, 1984)

Directors

Shareholders

Company Registrar

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SECP

2-The small audit firms provide the following services EXCEPT:

Liquidation and receivership work, fraud auditing

Financial management and system consultancy

Financial system planning and preparation

Tax management and statutory form filling

3-Which of the following audit process determines that whether entity is following specific procedures, rules or regulations set down by some higher authority?

Technical audit

Financial statement audit

Compliance audit

Operational audit

4-Reliability of audit evidence is influenced by all of the following factors EXCEPT:

Source and the nature of the information

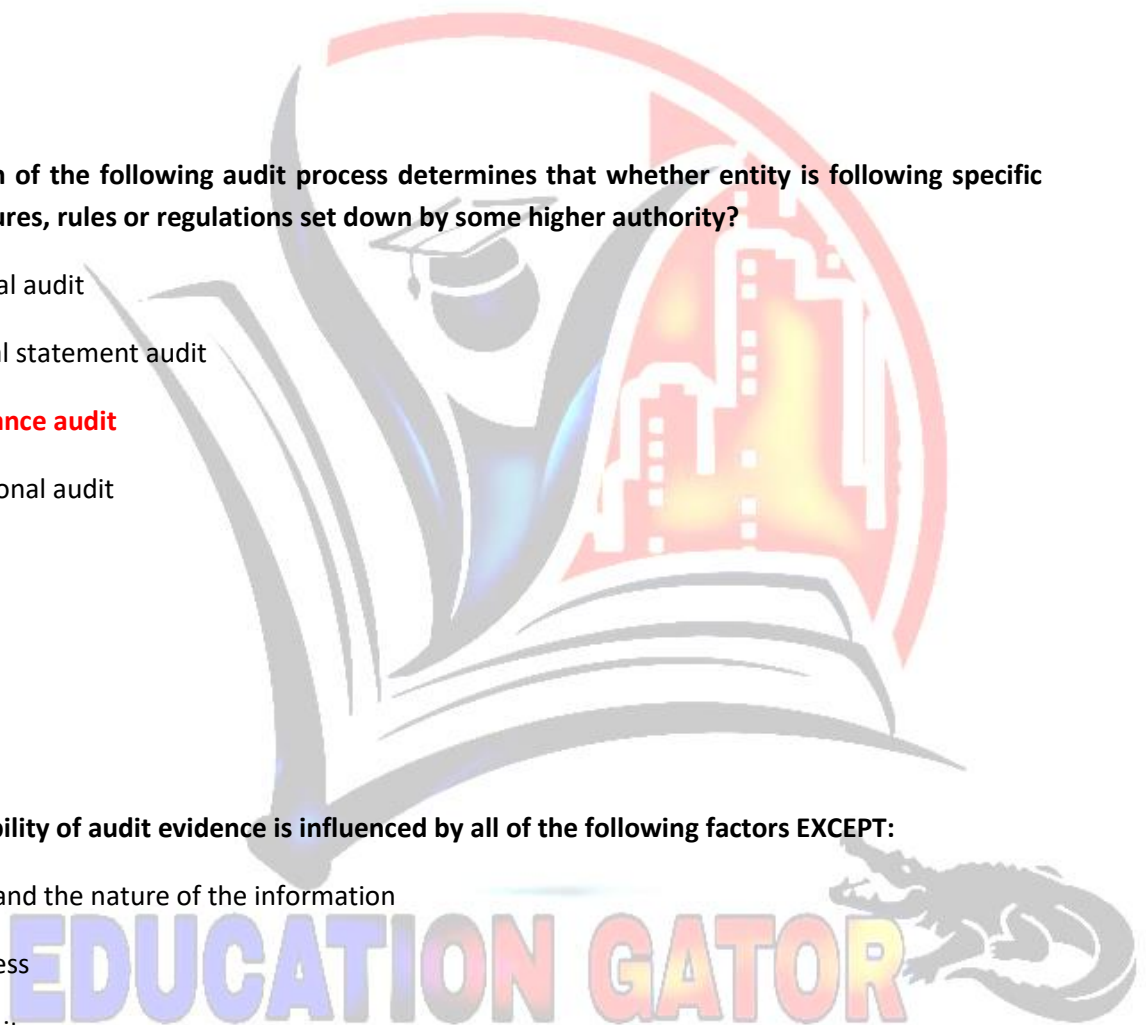
Timeliness

Objectivity

Quantity

5-Which statement cannot be highlighted as a merit of audit process?

It settles the dispute between management



It helps the auditor to give more constructive advice top management

Its help to restrict sole proprietor to by changing some fee

It gives strength to the company for acquiring the finance

6-For better assessing the audit risk, auditor inquires different groups in the organizations EXCEPT:

Board of governance and top level management

Legal counsel

Middle level management

Stakeholders

7-Which of the following is the least concern to an auditor regarding the client's internal control system?

Efficiency and effectiveness of operations

Controls related to the reliability of financial reporting

Controls over classes of transactions

Auditors are equally concern with each of the given issues

8-During test of control procedure its design can easily tested with the help of:

ICQs and walk through tests

ICQs and judgment sample

ICQs and random sample

ICQS and ICEC

9-Internal source of audit evidence for an entity includes the following EXCEPT:

Associated companies of the entity

Accounting systems, records and documents

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Non-financial data and records

Management representation and discussion

10-Which of the following is TRUE?

The audit profession is unregulated

The audit profession is regulated by its own professional body

Outside bodies sometimes become involved in the regulation of audit profession

The audit profession is regulated only by the government

1. Which one of the following cannot be considered as the essential feature of Auditing?
 1. An auditor is involved in the examination of financial statements
 2. **b. The auditor is responsible for the preparation of the financial statements**
 1. The end result of an audit is an opinion to assist the user of the financial statements.
2. The auditor should be independent of the entity
 1. It is difficult to prepare financial reports that fairly present a company's financial position without the expertise of an external auditor
 2. It is management's responsibility to seek available independent aid in the appraisal of financial information shown in its financial reports
 3. **c. The opinion of an independent party is needed because a company may not be objective with respect to its own financial reports**
3. It is a customary courtesy that all shareholders of a company receive an
 2. Which one of the following best describes why an independent auditor is asked to express an opinion on the presentation of financial reports?
independent report on management's stewardship of the affairs of the business
 1. The audit which is a review of any part of an entity's operating procedures and methods
is known as which one of the following?
 1. Financial statement audits
 2. **b. Operational audits**
 3. Technical Audits

4. Compliance audits
5. Financial report
6. Financial statement
7. Director's report
8. **d. Auditor's report**

4. Which one of the following is considered as the formal opinion, or disclaimer thereof, issued by an independent auditor as a result of audit or evaluation performed on a legal entity?

5. Which of the following statements is true?

1. The auditing profession is unregulated
2. **b. The auditing profession is regulated only by its own professional body**

1. Outside bodies sometimes become involved in the regulation of the audit profession
2. The auditing profession is regulated only by the government

6. Which one of the following primary assertions is satisfied when an auditor ensures that there are no unrecorded assets, liabilities, transactions or events or undisclosed items in the client's financial records?

1. Valuation
2. **b. Completeness**
3. Existence
4. Rights and obligations

7. Internal control is primarily established within a company to do which of the following?

1. **a. To prevent fraud in the company affairs**
2. To provide reasonable assurance that the company's objectives will be achieved
3. To catch all errors that may occur in the company
4. To aid in the effective auditing of the company

8. Fixation of remuneration of auditors can be determined by the following authorities EXCEPT: (*Companies Ordinance, 1984*)

1. Directors
2. **b. Company secretary**
3. Commission
4. Members

9. A leather goods manufacturing company has started its operations in year 2001. After five years of conducting successful business, it has become a listed company recently. Now, the company is required to hire its first

auditors, but neither the directors nor the members could appoint the auditors during the past 4 months since the incorporation of the company.

Select among the following authorities who can appoint the auditors in this situation? (*Companies Ordinance, 1984*)

1. Company secretary
2. **b. Company registrar**
3. Commission
4. Institute of Chartered Accountants of Pakistan (ICAP)

10. A company has hired auditors who have performed the audit process in accordance with the auditing standards, but they fail to present its report. According to the Company law, 1984, the auditors shall be liable for which one of the following liabilities?

1. Criminal liability
2. Liability for misfeasance
3. **c. Liability for negligence**
4. Accounting liability

1. Which one of the following cannot be considered as the essential feature of Auditing?

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- c. The end result of an audit is an opinion to assist the user of the financial statements.
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- b. It is management's responsibility to seek available independent aid in the appraisal of financial information shown in its financial reports
- c. The opinion of an independent party is needed because a company may not be objective with respect to its own financial reports**
- d. It is a customary courtesy that all shareholders of a company receive an independent report on management's stewardship of the affairs of the business

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- c. Liability for negligence**
- d. Accounting liability

01 #: During audit of the financial statements, the auditors are concerned with the verification and determination of which one of the following items?

Statements, accuracy, and feasibility

Date, accuracy, and reliability

Policies, value, and reliability

Cycle, policies, and reliability

02 #: Which one of the following authorities shall fix the remuneration of the auditors, if auditors are appointed by the SECP? (Companies Ordinance, 1984)

Directors

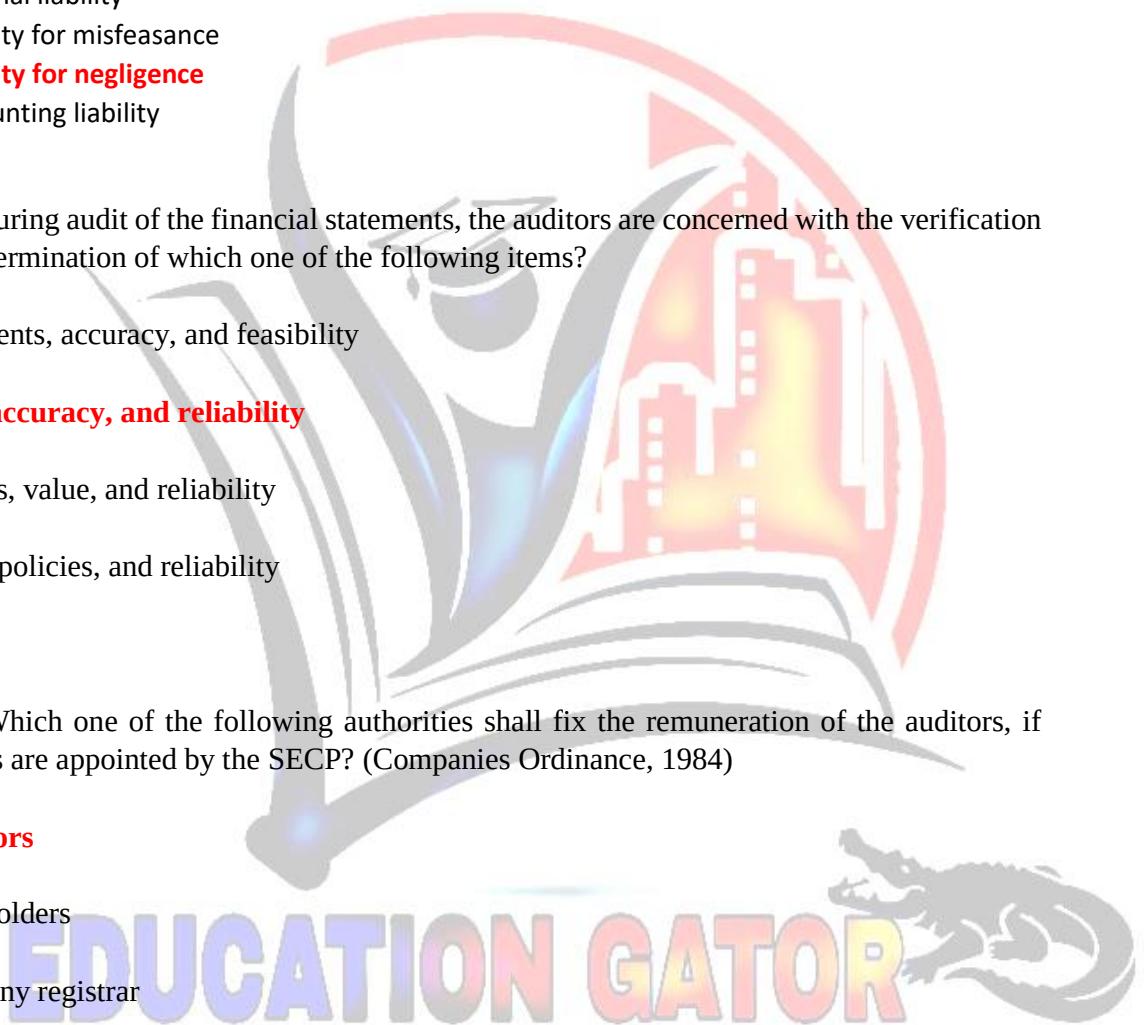
Shareholders

Company registrar

SECP

03 #: The phrase (Scope of an Audit) refers to which one of the followings?

Engagement letters



Audit procedures

Audit evidence

Reasonable assurance

04 #: Following statements are true about the legal requirements of books accounts for the companies EXCEPT: (Companies Ordinance, 1984)

Books of accounts should be preserved for 10 years

Books of accounts are to be kept at the registered office of the company

Directors can review the books of account during the business hours

If a company fails to maintain books of accounts according, it may leads to demolish the entity

05 #: The factors that affect reasonable assurance include all of the following EXCEPT:

Use of testing (Sampling)

Interest limitations of accounting and internal control

Remuneration of the auditor

Persuasive nature of audit evidence

06 #: A well designed Internal Control Questionnaire (ICQ) should incorporate the following EXCEPT:

Be a sufficient source of data for the evaluation of internal controls

Identity the internal control system's strengths and weaknesses

Be organized by individual functional organizations

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Should include simple yes or no responses but no narrative responses

07 #: Which one of the following is FALSE about Internal Control Evaluation Checklists (ICEC)?

ICEC is developed to overcome the shortcomings of Internal Control Questionnaire

The rules of constructing ICEC is different than construction of Internal Control Questionnaire

It is designed to determine, whether desirable internal controls are present

It is normally employed where system's information has already been recorded

08 #: An auditor's flow chart of an entity's information system is a diagrammatic representation. It depicts what kind of information?

Program for tests of control

Understanding of the system

Understanding of the types of irregularity that are probable given by the present system

Documentation of the study and evaluation of the system

09 #: Which one of the following is NOT a factor included in the control environment of an entity?

Integrity and ethical values

Risk assessment

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Commitment to competence

Organization structure

10 #: The audit which is a review of any part of an entity's operating procedures and methods is known as:

Financial statement audits

Operational audits

Technical Audits

Compliance audits

11 #: While considering internal control system of an entity, the auditor is basically concerned that the system provides reasonable assurance about which one of the following?

That the management can not override the system

Operational efficiency has been achieved according to management plans

Errors have been prevented or detected

Controls have not been circumvented by collusion

12 #: Which one of the following is the source document for staff salaries?

Approved payrolls

Vouchers

Accounting statements

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Cash memos

13 #: Analytical procedures used in planning an audit should focus on identifying which one of the followings?

Areas that may represent specific risks relevant to the audit

Material weaknesses in the internal control structure

The predictability of financial data form individual transactions

The various assertions that are embodied in the financial report

14 #: Which one of the following meetings is considered as a 'meeting of directors or management'?

General meeting

Extra ordinary general meeting

Board meeting

Management meeting

